

HIGHLAND COMPUTER FORMS INC.

FINANCIAL STATEMENT

FOR THE MONTH ENDED

DECEMBER 31, 2024

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ACCOUNTANT'S NOTES ON FINANCIAL STATEMENTS DATED
DECEMBER 31, 2024

1. ERRORS RECORDED THIS MONTH WERE \$7,654 FOR A YTD TOTAL OF \$100,625. BASED ON THE YTD MANUFACTURING INCOME PERCENTAGE OF (.03649%) WE NEED \$2,757,831 ADDITIONAL SALES TO COVER THE LOSS.
2. PIXELLE CREDIT FOR FORDYCE SHEETER SHUTDOWN IS CODED TO SUPERVISOR'S SALARIES IN THE AMOUNT OF \$5,991.
3. THE ANNUAL RECONCILIATION OF GENERAL BUSINESS INSURANCE AND ANGOLA WORKERS COMPENSATION POLICY RESULTED IN A NET ADJUSTMENT OF \$218. BUSINESS INSURANCE PREMIUMS INCREASED \$6305 WHICH SHOWS IN THE INSURANCE-GENERAL LINE ON THE COGM STATEMENT AND WORKERS COMPENSATION DECREASED \$6087 REFLECTED IN THE TAXES-PAYROLL LINE ON THE COGM.
4. THE COMPANY PAID OUT \$30,000 IN EMPLOYEE BONUSES THIS MONTH AND PURCHASED SHIRTS FOR THE EMPLOYEES THAT IS CODED TO EMPLOYEE RELATIONS.

BALANCE SHEET -CONSOLIDATED

DECEMBER 31, 2024

ASSETS

CURRENT ASSETS

CASH IN THE BANK	586,940	
ACCOUNTS RECEIVABLE - OTHER	8,192	
ACCOUNTS RECEIVABLE	600,832	
PREPAID EXPENSE	5,961	
INVENTORY	1,021,534	
TOTAL CURRENT ASSETS		2,223,461

FIXED ASSETS

MACHINERY & EQUIPMENT	6,759,704	
VEHICLES	149,312	
DATA PROCESSING EQUIPMENT	188,705	
FURNITURE & FIXTURES	42,406	
BUILDING AND LAND	600,000	
GOODWILL	10,000	
LEASEHOLD IMPROVEMENTS	1,078,355	
TOTAL FIXED ASSETS		8,828,485
ACCUMULATED DEPRECIATION		7,125,015
NET FIXED ASSETS		1,703,469

OTHER ASSETS

DEPOSITS	500	
TOTAL OTHER ASSETS		500
TOTAL ASSETS		3,927,431

BALANCE SHEET - CONSOLIDATED

DECEMBER 31, 2024

LIABILITIES & STOCKHOLDER'S EQUITY

CURRENT LIABILITIES

ACCOUNTS PAYABLE	281,912
ACCRUED PAYROLL TAXES	(4,015)
ACCRUED EXPENSES	284,465
NOTE PAYABLE W & J	193,786
NOTE PAYABLE FIRST STATE BANK	19,681
CAPITAL LEASES	0

TOTAL CURRENT LIABILITIES **775,831**

OTHER LIABILITIES

FSB REVOLVING LOAN	0	
TOTAL OTHER LIABILITIES		0

LONG TERM LIABILITIES

CAPITAL LEASES	0	
NOTE PAYABLE FIRST STATE BANK	395,424	
TOTAL LONG TERM LIABILITES		395,424

TOTAL LIABILITIES **1,171,256**

STOCKHOLDER'S EQUITY

COMMON STOCK	1,000	
RETAINED EARNINGS	2,744,936	
DISTRIBUTIONS TO SHAREHOLDER	(82,015)	
PAID IN CAPITAL	249,000	
CURRENT EARNINGS	(156,745)	
TOTAL SHAREHOLDER'S EQUITY		2,756,175

TOTAL LIABILITIES & EQUITY **3,927,431**

INCOME STATEMENT
DECEMBER 31, 2024

	CURRENT PERIOD	YEAR TO DATE
NET REVENUES	\$ 657,124	\$ 8,855,077
COST AND EXPENSES EXCLUDING DEPRECIATION & AMORTIZATION	<u>662,916</u>	<u>8,748,705</u>
EBITDA	<u>(5,792)</u>	<u>106,372</u>
INTEREST	1,562	19,149
TAXES (INCOME)	0	0
DEPRECIATION & AMORTIZATION	20,859	243,968
NET INCOME	\$ <u>(28,213)</u>	\$ <u>(156,745)</u>

INCOME STATEMENT
DECEMBER 31, 2024

	CURRENT PERIOD	YEAR TO DATE
SALES	669,256	9,008,623
LESS : SALES DISCOUNT	12,131	153,545
NET SALES	657,124	8,855,077
 COST OF GOODS SOLD		
BEGINNING INVENTORY	168,043	313,473
COST OF GOODS MFG	645,590	7,864,662
OUTSIDE PURCHASES		0
ENVELOPES	1,971	31,055
COPY PAPER	0	2,773
TOTAL AVAILABLE FOR SALE	815,605	8,211,964
 LESS ENDING INVENTORY	226,313	226,313
TOTAL COST OF GOODS SOLD	589,291	7,985,651
 FREIGHT INCOME	51,511	673,989
FREIGHT EXPENSE	39,342	540,101
INTERCOMPANY FREIGHT	546	9,178
UNRECONCILED FREIGHT	1,626	10,536
TOTAL FREIGHT INCOME (EXPENSE)	9,995	114,173
 GENERAL & ADMINISTRATIVE	120,604	1,312,301
INCOME FROM OPERATIONS	(42,775)	(328,701)
 OTHER INCOME		
SALE OF SCRAP	6,236	98,051
MISC. INCOME	2,190	27,976
EXTINGUISHMENT OF DEBT	0	0
RECOVERY ON BAD DEBT	0	0
GAIN ON SALE OF ASSETS	0	2,666
PURCHASE DISCOUNTS	7,681	62,385
TOTAL OTHER INCOME	16,108	191,079
 OTHER EXPENSES		
MISC. EXPENSE	(15)	(24)
INTEREST EXPENSE	1,562	19,149
TOTAL OTHER EXPENSES	1,547	19,125
 TOTAL NET INCOME (LOSS)	(28,213)	(156,745)

COST OF GOODS MANUFACTURED
DECEMBER 31, 2024

	CURRENT PERIOD		YEAR TO DATE	
DIRECT MATERIALS				
PAPER	300,910	40.0%	3,635,090	40.8%
CARBON	0	0.0%	6,961	0.1%
CARTONS	14,790	2.0%	180,668	2.0%
INK	9,052	1.2%	94,918	1.1%
MATERIALS & SUPPLIES	8,554	1.1%	206,349	2.3%
LABEL MATERIALS	15,602	2.1%	121,477	1.4%
INTEGRATED MATERIALS	3,005	0.4%	69,426	0.8%
PLATES & NEGATIVES	10,668	1.4%	134,080	1.5%
TOTAL DIRECT MATERIALS	362,584	48.3%	4,448,970	49.9%
LABOR				
DIRECT LABOR WAGES	95,330	12.7%	1,171,097	13.1%
INDIRECT LABOR WAGES	54,279	7.2%	638,972	7.2%
SUPERVISOR'S SALARIES	2,257	0.3%	66,211	0.7%
TOTAL LABOR	151,867	20.2%	1,876,281	21.0%
FACTORY OVERHEAD				
DEPRECIATION EQUIPMENT	14,056	1.9%	166,471	1.9%
DEPRECIATION TRUCKS	365	0.0%	4,385	0.0%
CARETAKING PRODUCTION	1,476	0.2%	29,615	0.3%
INSURANCE-HEALTH	37,518	5.0%	383,281	4.3%
TAXES-PAYROLL	9,832	1.3%	200,383	2.2%
401K MATCH	4,326	0.6%	53,478	0.6%
INSURANCE-GENERAL	10,185	1.4%	53,731	0.6%
TAXES-GENERAL	4,580	0.6%	46,938	0.5%
TRAINING & EDUCATION	90	0.0%	355	0.0%
RENT	10,500	1.4%	126,000	1.4%
REPAIRS & MAINTENANCE	12,320	1.6%	149,448	1.7%
TRUCK EXPENSES	198	0.0%	3,042	0.0%
UTILITIES	20,113	2.7%	238,880	2.7%
FREIGHT IN PRICE EXPENSES	5,573	0.7%	83,398	0.9%
TOTAL FACTORY OVERHEAD	131,138	17.5%	1,539,410	17.3%
TOTAL MANUFACTURING COST INCURRED	645,590	85.9%	7,864,662	88.2%
PRODUCTION	751,431	100.0%	8,916,843	100.0%
GROSS MARGIN	105,841	14.1%	1,052,180	11.8%

GENERAL AND ADMINISTRATIVE EXPENSES
DECEMBER 31, 2024

	CURRENT PERIOD		YEAR TO DATE	
ADVERTISING	183	0.2%	10,995	0.8%
BAD DEBTS	0	0.0%	50,879	3.9%
BANK CHARGES	1,164	1.0%	28,264	2.2%
PAYROLL CHARGES	2,361	2.0%	14,733	1.1%
RENT-ADMINISTRATIVE	0	0.0%	30,974	2.4%
CARETAKING SUPPLIES	1,737	1.4%	16,454	1.3%
COLLECTION	0	0.0%	0	0.0%
DEPRECIATION COMPUTER	1,105	0.9%	12,081	0.9%
DEPRECIATION FURN & FIX	0	0.0%	0	0.0%
DEPRECIATION LEASEHOLD	4,288	3.6%	48,528	3.7%
DEPRECIATION BUILDING	1,041	0.9%	12,500	1.0%
DUES & SUBSCRIPTIONS	0	0.0%	99	0.0%
DONATIONS	0	0.0%	1,500	0.1%
401K MATCH	1,882	1.6%	22,199	1.7%
INSURANCE-HEALTH	8,372	6.9%	75,799	5.8%
INSURANCE-KEYMAN	1,053	0.9%	16,583	1.3%
LEGAL & PROFESSIONAL	4,422	3.7%	90,098	6.9%
OFFICE SUPPLIES	1,232	1.0%	20,599	1.6%
POSTAGE	143	0.1%	4,009	0.3%
REPAIRS & MAINTENANCE	3,455	2.9%	42,669	3.3%
SELLING EXPENSE	0	0.0%	1,753	0.1%
EMPLOYEE BONUS	29,120	24.1%	102,120	7.8%
EMPLOYEE RELATIONS	2,370	2.0%	10,599	0.8%
SALARIES - ADMIN.	10,826	9.0%	128,934	9.8%
SALARIES -SALES SERVICE	28,181	23.4%	335,432	25.6%
SALARIES -OUTSIDE SALES	10,553	8.8%	137,765	10.5%
TAXES - PAYROLL	3,309	2.7%	43,461	3.3%
TELEPHONE	641	0.5%	9,418	0.7%
INTERNET	1,901	1.6%	18,953	1.4%
TRAINING & EDUCATION	0	0.0%	1,070	0.1%
TRAVEL	979	0.8%	17,045	1.3%
MEALS & ENTERTAINMENT	274	0.2%	6,776	0.5%
TOTAL GENERAL & ADMINISTRATIVE	120,604	100.0%	1,312,301	100.0%

STATEMENT OF CASH FLOWS
DECEMBER 31, 2024

	CURRENT PERIOD	YEAR TO DATE
CASH FLOW FORM OPERATING ACTIVITIES:		
NET INCOME (LOSS)	(28,213)	(156,745)
ADJUSTMENTS TO RECONCILE NET INCOME TO		
NET CASH PROVIDED BY OPERATING ACTIVITIES:		
DEPRECIATION AND AMORTIZATION	20,859	243,968
INCREASE (DECREASE) IN RESERVE FOR BAD DEBT	0	0
CHANGES IN ASSETS AND LIABILITIES:		
(INCREASE) DECREASE IN AR	150,513	306,870
(INCREASE) DECREASE IN INVENTORY	(123,749)	29,892
(INCREASE) DECREASE IN PREPAID EXPENSE	7,799	5,882
(INCREASE) DECREASE IN DEPOSITS	0	9,508
INCREASE (DECREASE) IN AP	(74,541)	(81,483)
INCREASE (DECREASE) IN ACCRUED EXPENSES	35,134	(58,496)
NET CASH PROVIDED BY OPERATING ACTIVITIES:	<u>(12,198)</u>	<u>299,396</u>
CASH FLOWS FROM INVESTING ACTIVITIES:		
PURCHASE OF MACHINERY	(14,177)	(52,061)
LEASEHOLD IMPROVEMENTS	0	(50,389)
TRUCK IMPROVEMENTS	0	0
PURCHASE OF COMPUTERS	0	(31,952)
PURCHASE OF FURNITURE & FIXTURES	0	0
PROCEEDS FROM SALE OF PROPERTY OR EQUIPMENT	0	4,834
INVESTMENT IN LIFE INSURANCE CASH VALUES	0	0
NET CASH USED BY INVESTING ACTIVITIES:	<u>(14,177)</u>	<u>(129,568)</u>
CASH FLOWS FROM FINANCING ACTIVITIES:		
NET OF (REPAYMENT) OR BORROWING OF FSB LOC	0	0
REPAYMENT OF FIRST STATE BANK LOAN	(1,601)	(18,818)
REPAYMENT OF W&J LOAN	0	0
REPAYMENT OF CAPITAL LEASES	0	(1,500)
DISTRIBUTIONS TO SHAREHOLDERS	0	(82,015)
NET CASH USED IN FINANCING ACTIVITIES:	<u>(1,601)</u>	<u>(102,333)</u>
NET (DECREASE) INCREASE IN CASH AND EQUIVALENTS	<u>(27,976)</u>	<u>67,495</u>
CASH AND EQUIVALENTS - BEGINNING OF PERIOD	614,916	519,445
CASH AND EQUIVALENTS – DECEMBER 31, 2024	<u>586,940</u>	<u>586,940</u>

INCOME STATEMENT

	JAN	FEB	MARCH	APRIL	MAY	JUNE	JULY	AUG	SEPT	OCT	NOV	DEC	TOTAL
SALES	910,035	808,239	749,756	670,368	718,333	683,630	724,744	740,975	693,496	960,138	679,647	669,256	9,008,623
LESS : SALES DISCOUNT	12,470	13,343	8,561	15,131	16,311	9,841	13,293	14,440	12,085	12,972	12,960	12,131	153,545
NET SALES	897,565	794,895	741,194	655,236	702,022	673,788	711,451	726,534	681,411	947,166	666,687	657,124	8,855,077
COST OF GOODS SOLD													
BEGINNING INVENTORY	313,473	289,437	283,916	275,779	248,604	203,259	199,589	190,309	214,304	215,635	178,818	168,043	313,473
COST OF GOODS MFG	757,137	676,325	647,489	587,717	577,857	621,024	636,787	704,280	625,913	768,694	615,846	645,590	7,864,662
ENVELOPES	2,834	3,171	3,177	1,327	3,707	4,214	2,055	2,730	2,368	1,611	1,885	1,971	31,055
COPY PAPER					2,773								2,773
TOTAL AVAILABLE FOR SALE	1,073,444	968,934	934,582	864,823	832,941	828,498	838,431	897,319	842,585	985,941	796,549	815,605	8,211,964
LESS ENDING INVENTORY	289,437	283,916	275,779	248,604	203,259	199,589	190,309	214,304	215,635	178,818	168,043	226,313	226,313
TOTAL COST OF GOODS SOLD	784,007	685,018	658,803	616,219	629,684	628,908	648,122	683,016	626,951	807,123	628,505	589,291	7,985,651
FREIGHT INCOME	58,883	59,615	67,423	51,007	55,547	47,658	57,273	54,214	52,814	67,786	50,254	51,511	673,989
FREIGHT EXPENSE	51,132	46,003	54,561	46,226	44,286	37,140	38,930	48,768	38,675	56,701	38,333	39,342	540,101
INTERCOMPANY FREIGHT	588	865	752	629	722	698	828	923	448	1,188	985	546	9,178
UNRECONCILED FREIGHT	1,010	873	193	152	420	868	845	827	792	1,439	1,484	1,626	10,536
TOTAL FREIGHT INCOME (EXPENSE)	6,153	11,872	11,916	3,999	10,117	8,950	16,670	3,694	12,899	8,455	9,452	9,995	114,173
GENERAL & ADMINISTRATIVE	111,856	123,664	98,474	89,297	93,825	156,463	137,850	88,608	91,975	109,910	89,769	120,604	1,312,301
INCOME FROM OPERATIONS	7,855	(1,914)	(4,167)	(46,281)	(11,370)	(102,632)	(57,851)	(41,395)	(24,617)	38,589	(42,136)	(42,775)	(328,701)
OTHER INCOME													
SALE OF SCRAP	7,611	6,178	11,577	8,382	9,540	7,823	6,801	5,733	13,776	6,523	7,866	6,236	98,051
MISC. INCOME	9,294	475	8,785	8,785	725	2,064	225	832	3,009	75	300	2,190	27,976
GAIN ON SALE OF PROPERTY													2,666
RECOVERY ON BAD DEBT													0
PURCHASE DISCOUNTS	6,815	6,627	4,929	5,014	3,331	3,700	4,564	5,129	6,210	4,421	3,959	7,681	62,385
TOTAL OTHER INCOME	23,720	15,946	16,506	22,181	13,596	13,587	11,590	11,694	22,995	11,019	12,125	16,107	191,078
OTHER EXPENSES													
MISC. EXPENSE			(4)		(10)			10		(4)		(15)	(24)
INTEREST EXPENSE	1,634	1,621	1,615	1,609	1,604	1,598	1,592	1,586	1,580	1,574	1,568	1,562	19,149
TOTAL OTHER EXPENSES	1,634	1,621	1,611	1,609	1,594	1,598	1,592	1,596	1,580	1,570	1,568	1,547	19,125
TOTAL NET INCOME (LOSS)	29,941	12,410	10,728	(25,707)	632	(90,642)	(47,853)	(31,297)	(3,202)	48,038	(31,579)	(28,213)	(156,745)

COST OF GOODS MANUFACTURED

	JAN	FEB	MARCH	APRIL	MAY	JUNE	JULY	AUGUST	SEPTEMBER	OCTOBER	NOVEMBER	DECEMBER	TOTAL
DIRECT MATERIALS													
PAPER	356,405	315,615	316,776	282,253	246,214	291,488	278,972	340,072	270,685	359,964	275,732	300,910	3,635,090
CARBON	133	442	242	199	1,095	2,453	100	1,340	125	213	616	0	6,961
CARTONS	17,983	14,635	16,616	14,329	12,365	16,006	11,798	19,957	9,850	16,659	15,675	14,790	180,668
INK	9,692	4,243	2,776	3,774	9,886	9,886	8,031	23,335	4,728	12,436	3,131	9,052	94,918
MATERIALS & SUPPLIES	17,993	20,061	15,450	20,471	13,894	18,171	20,248	13,829	15,526	18,431	23,714	8,554	206,349
LABEL MATERIAL	12,686	13,500	4,260	5,552	15,309	9,270	5,817	5,960	14,187	15,020	4,308	15,602	121,477
TAMARACK & HUNKLER	4,557	7,834	3,739	1,859	3,533	8,439	2,940	1,365	10,150	16,842	5,158	3,005	69,426
PLATES & NEGATIVES	11,367	13,664	9,831	12,188	12,394	9,112	11,044	10,409	11,186	12,107	10,105	10,668	134,080
TOTAL DIRECT MATERIALS	430,816	389,997	369,694	340,628	308,637	364,827	338,955	416,270	336,440	451,674	338,442	362,584	4,448,970
LABOR													
DIRECT LABOR WAGES	115,373	101,740	90,753	92,080	95,161	87,981	101,335	99,538	97,955	99,354	94,490	95,330	1,171,097
INDIRECT LABOR WAGES	60,648	48,372	52,811	52,839	55,516	47,406	55,051	52,541	52,053	56,342	51,109	54,279	638,972
SUPERVISOR'S SALARIES	8,623	7,873	7,873	2,025	8,623	7,498	8,623	2,624	7,873	534	1,782	2,257	66,211
TOTAL LABOR	184,644	157,986	151,438	146,945	159,301	142,885	165,009	154,704	157,882	156,231	147,383	151,867	1,876,281
FACTORY OVERHEAD													
DEPRECIATION EQUIPMENT	13,843	13,843	13,759	13,759	13,759	13,759	13,759	13,759	13,759	14,295	14,115	14,056	166,471
DEPRECIATION TRUCKS	365	365	365	365	365	365	365	365	365	365	365	365	4,385
CARETAKING - PRODUCTION EQUIPMENT LEASING	3,135	1,860	5,011	2,942	1,334	2,278	2,321	1,504	3,571	1,328	2,850	1,476	29,615
INSURANCE-HEALTH	40,826	29,228	25,139	17,646	17,216	22,025	30,176	27,127	38,843	57,835	39,697	37,518	383,281
TAXES-PAYROLL	18,466	18,705	22,198	14,183	13,937	14,247	19,825	20,806	16,999	17,119	14,061	9,832	200,383
401K MATCH	4,073	3,879	5,834	3,802	3,796	3,853	6,509	5,744	3,806	3,972	3,879	4,326	53,478
INSURANCE-GENERAL	3,880	3,880	3,880	3,880	3,880	3,880	3,880	3,880	3,880	4,745	3,880	10,185	53,731
TAXES-GENERAL	4,752	3,572	3,572	4,574	3,572	3,822	3,572	3,572	3,822	3,921	3,606	4,580	46,938
TRAINING & EDUCATION	40	45	45	45	45	45	45	45	45	135	45	90	355
RENT	10,500	10,500	10,500	10,500	10,500	10,500	10,500	10,500	10,500	10,500	10,500	10,500	125,000
REPAIRS & MAINTENANCE	10,942	10,442	11,999	16,874	15,423	12,121	6,436	14,322	7,157	17,841	13,565	12,320	149,448
TRUCK EXPENSES	347	178	382	302	496	345	253	253	178	174	185	198	3,042
UTILITIES	23,721	21,048	15,602	5,359	20,400	22,666	23,294	23,514	23,457	20,295	19,407	20,113	238,880
FREIGHT IN PRICE EXPENSES	6,781	10,838	8,111	5,907	5,236	3,444	12,180	7,956	5,249	8,258	3,861	5,573	83,398
TOTAL FACTORY OVERHEAD	141,671	128,341	126,356	100,142	109,918	113,310	132,820	133,306	131,590	160,788	130,021	131,137	1,539,410
TOTAL MANUFACTURING COST INCL	757,131	676,325	647,489	587,717	577,857	621,024	636,787	704,280	625,913	768,694	615,846	645,590	7,864,662
PRODUCTION	871,235	788,548	762,224	656,502	639,951	688,374	719,724	782,863	677,414	916,636	661,938	751,431	8,916,843
GROSS MARGIN	114,104	112,223	114,734	68,785	62,093	67,350	82,937	78,582	51,500	147,941	46,092	105,841	1,052,180

GENERAL AND ADMINISTRATIVE

	JAN	FEB	MARCH	APRIL	MAY	JUNE	JULY	AUGUST	SEPTEMBER	OCTOBER	NOVEMBER	DECEMBER	TOTAL
ADVERTISING	792	6,301	1,341	117	117	174	267	192	155	1,127	221	183	10,995
BAD DEBTS			83		1,410		45,648		3,737				50,879
BANK CHARGES	1,841	3,166	3,569	2,820	2,725	1,818	2,196	3,285	1,517	2,481	1,677	1,164	28,264
PAYROLL CHARGES	1,181	1,467	1,287	1,030	946	958	1,037	1,314	1,016	1,084	1,044	2,361	14,733
RENT ADMINISTRATIVE	3,065	3,065	3,387	3,065	3,065	3,065	3,065	3,065	3,065	3,065			30,974
CARETAKING SUPPLIES	991	479	134	1,735	2,874	2,712	1,428	1,433	1,587	874	464	1,737	16,454
COLLECTION		0											0
DEPRECIATION COMPUTER	479	479	479	479	479	479	479	479	479	5,554	1,105	1,105	12,081
DEPRECIATION FURN & FIX													0
DEPRECIATION LEASEHOLD	3,612	3,612	3,612	3,612	3,612	3,612	3,612	3,612	3,612	7,441	4,288	4,288	48,528
DEPRECIATION BUILDING	1,041	1,041	1,041	1,041	1,041	1,041	1,041	1,041	1,041	1,041	1,041	1,041	12,500
DUES & SUBSCRIPTIONS			99										99
DONATIONS	0	250	500				750						1,500
401K MATCH	2,003	1,779	2,598	1,638	1,633	1,637	1,679	2,429	1,628	1,646	1,642	1,882	22,199
INSURANCE-HEALTH	9,609	7,253	6,688	(7,633)	3,846	3,895	8,445	3,792	8,468	13,456	9,604	8,372	75,799
INSURANCE-KEYMAN	1,327	1,327	1,327	1,327	1,327	1,327	1,327	2,543	1,727	1,015	949	1,053	16,583
LEGAL & PROFESSIONAL	9,207	22,995	6,010	16,045	6,558	6,718	4,420	3,198	3,139	3,230	4,158	4,422	90,098
OFFICE SUPPLIES	1,918	4,846	1,480	1,502	1,448	441	1,299	1,027	2,378	868	2,155	1,232	20,599
POSTAGE	235	434	455		1,062		300	553	288	177	358	143	4,009
REPAIRS & MAINTENANCE	2,213	2,619	2,047	3,836	3,455	3,455	3,836	3,455	3,455	4,110	6,730	3,455	42,669
SELLING EXPENSE		1,714		20						18			1,753
EMPLOYEE BONUS						73,000						29,120	102,120
EMPLOYEE RELATIONS	3,266	713	1,001	866	172	210	34	830	471	51	608	2,370	10,599
SALARIES - ADMIN.	11,318	10,334	10,334	10,826	11,318	9,842	11,318	10,826	10,334	11,318	10,334	10,826	128,934
SALARIES-SALES SERVICE	31,385	26,315	26,206	29,068	29,241	25,311	29,148	27,075	26,902	29,515	27,080	28,181	335,432
SALARIES-OUTSIDE SALES	18,107	13,965	12,210	9,529	11,033	9,594	11,033	10,553	10,074	11,033	10,074	10,553	137,765
TAXES - PAYROLL	4,601	3,925	5,017	3,077	3,052	3,057	3,169	4,535	3,035	3,096	3,581	3,309	43,461
TELEPHONE	1,072	728	1,222	647	640	729	711	735	666	652	972	641	9,418
INTERNET	1,463	1,426	2,226	1,661	1,266	2,375	1,125	1,125	1,969	1,285	1,125	1,901	18,953
TRAINING & EDUCATION		1,070											1,070
TRAVEL	863	2,286	2,945	734	898	827	319	1,426	958	4,458	348	979	17,045
MEALS & ENTERTAINMENT	259	66	1,164	2,245	595	178	153	73	262	1,303	201	274	6,776
TOTAL GENERAL & ADMINISTRATIVE	111,848	123,664	98,474	89,297	93,825	156,463	137,850	88,608	91,975	109,910	89,769	120,604	1,312,301

Error Report Analysis YEAR TO DATE INFORMATION

<u>Plant</u>	<u>Production Errors</u>	<u>Production \$</u>	<u>%</u>	<u>All Other Errors</u>	<u>Sales \$</u>	<u>%</u>
Hillsboro	\$33,472	4,651,591	0.72%	\$32,234	4,669,840	0.69%
Angola	30,925	3,727,513	0.83%	3,995	3,801,384	0.11%
Hillsboro 2	0	537,739	0.00%	0	537,398	0.00%
Total	\$64,397	\$8,916,843	0.72%	\$36,229	\$9,008,623	0.40%

MONTHLY DATA INFORMATION

<u>Plant</u>	<u>Production Errors</u>	<u>Production \$</u>	<u>%</u>	<u>All Other Errors</u>	<u>Sales \$</u>	<u>%</u>
Hillsboro	\$2,506	406,536	0.62%	\$4,949	377,760	1.31%
Angola	199	307,897	0.06%	0	254,499	0.00%
Hillsboro 2		<u>36,997</u>	0.00%		<u>36,996</u>	0.00%
Total	\$2,705	\$751,431	0.36%	\$4,949	\$669,256	0.74%

Please note this data is skewed by the fact that the error dollars are assigned to the employees location and the sales dollars are with the shipping plant.

With current data collection methods while the total is correct the division among plants will be inaccurate.

Emp#	Name	Number of Errors	Cost
0000036	J MILLER	1	102.73
0000082	T MCCONAHAY	1	199.15
0000085	K DICK	1	39.20
0000954	C MARTIN	1	10.00
0001112	J HAWKINS	1	573.23
0001115	K COLLINS	1	153.92
0001220	W KEATON	1	686.85
0001225	R MERRITT	1	866.25
0007777	M HANDLER	2	225.54
0008888	V VENDOR CREDITS	2	4,796.72
	Total:	12	7,653.59

Dept Code	Description	Number of Errors	Cost
100	OFFICER	3	4,899.45
200	PRESS-H	4	2,280.25
220	MATERIAL HANDLER-H	2	225.54
251	CUSTOM SALES-H	1	39.20
300	PRESS-A	1	199.15
650	SALES-IOWA	1	10.00
Total:		12	7,653.59

Emp#	Name	Number Of Errors	Cost
0000000		14	6,281.74
0000024	B THACKSTON	2	78.73
0000035	R JONES	6	7,094.16
0000036	J MILLER	8	1,273.62
0000041	J OYER	2	99.84
0000067	S PATTON	1	10.00
0000071	R STERLING	3	803.85
0000082	T MCCONAHAY	12	8,320.07
0000085	K DICK	4	566.74
0000165	R SMITH	1	10.00
0000193	L ROBERTS	4	15,584.84
0000354	J HENSLEY	1	1,149.46
0000573	M OSTRANDER	2	3,456.49
0000594	S PENWELL	4	2,229.13
0000857	B NOLL	1	540.00
0000862	N VELLASAMY	3	1,142.67
0000870	M MAGUIRE	2	403.43
0000884	M MANKIN	2	1,330.90
0000897	T DERCK	1	784.20
0000907	J GERARD	2	860.33
0000916	N JONES	5	1,584.76
0000930	M WILLS	4	250.40
0000942	P ELAM	7	1,462.15
0000954	C MARTIN	8	436.18
0000977	A WATSON	8	428.05
0000979	T FENNER	4	1,728.45
0001017	B MINZLER	1	1,104.51
0001032	H MARTINEZ	4	2,604.88
0001075	S RISLEY	6	3,072.24
0001076	R SLACK	1	159.34
0001088	D COLTHAR	1	289.40
0001104	B HAWKINS	11	1,962.14
0001106	D DISKETE	16	878.23
0001112	J HAWKINS	2	1,008.23
0001115	K COLLINS	2	3,550.81
0001158	M TURNER	2	2,639.16
0001174	C PALMER	2	1,337.53
0001197	D OWENS, JR	1	160.00
0001198	C NICHOLS	1	179.04
0001204	D HOLLOWAY	1	113.94
0001208	J ICARD	1	166.86
0001220	W KEATON	1	686.85
0001225	R MERRITT	1	866.25
0007777	M HANDLER	10	1,285.49
0008888	V VENDOR CREDITS	23	20,650.74
	Total:	198	100,625.83

Dept Code	Description	Number of Errors	Cost
000		12	5,925.05
100	OFFICER	24	20,753.47
200	PRESS-H	21	10,863.67
201	COLLATOR-H	8	17,813.97
205	SCHEDULING/GEN FACTORY-H	2	78.73
220	MATERIAL HANDLER-H	10	1,285.19
221	SHIPPING-H	7	1,462.15
225	BINDERY	6	3,012.00
250	SALES-H	8	428.05
251	CUSTOM SALES-H	24	1,695.37
260	ADM-SUPERVISION-H	1	10.00
270	ADM-OFFICE-H	1	10.00
300	PRESS-A	24	13,542.39
301	COLLATOR-A	1	41.50
305	SCHEDULING/GEN FACTORY- A	2	403.43
310	PLANT SUPERVISION-A	6	7,094.16
320	MATERIAL HANDLER-A	11	9,843.20
321	SHIPPING-A	11	1,962.14
331	MAINTENANCE-A	2	860.33
350	SALES-A	1	784.20
450	SALES-Y	7	1,170.89
606	COMP. DEPT-IOWA	1	1,149.46
650	SALES-IOWA	8	436.18
Total:		198	100,625.83

HILLSBORO

Highland Computer Forms, Inc.

PERIOD 124/12

ENDING 124/12/31 PAGE 1

	CURRENT PERIOD		YEAR TO DATE	
COST OF GOODS				
MANUFACTURED				
DIRECT MATERIALS				
PAPER	166,021	40.8	1,914,909	41.2
CARBON			5,661	.1
CARTONS	7,621	1.9	95,916	2.1
INK	8,278	2.0	76,717	1.7
MATERIALS + SUPPLIES	5,466	1.3	138,195	3.0
LABEL MATERIAL				
INTEGRATED MATERIAL	3,005	.7	69,426	1.5
PLATES + COMP CHARGES	9,242	2.3	105,961	2.3
TOTAL DIRECT MATERIALS	199,636	49.1	2,406,788	51.7
LABOR				
DIRECT LABOR WAGES	59,384	14.6	723,248	15.6
INDIRECT LABOR WAGES	20,418	5.0	236,265	5.1
SUPERVISOR'S SALARIES				
TOTAL LABOR	79,802	19.6	959,514	20.6
FACTORY OVERHEAD				
DEPRECIATION EQUIPMENT	8,056	2.0	96,101	2.1
DEPRECIATION TRUCKS	365	.1	4,385	.1
CARETAKING-PRODUCTION	1,074	.3	19,048	.4
EQUIPMENT LEASING				
INSURANCE - PROD HEALTH	16,914	4.2	183,496	3.9
TAXES - PROD PAYROLL	6,294	1.6	77,804	1.7
401K MATCH - PROD	1,338	.3	15,905	.3
INSURANCE - GENERAL	3,858	1.0	27,996	.6
TAXES - GENERAL	1,010	.3	10,274	.2
TRAINING & EDUCATION	90		315	
RENT				
REPAIRS + MAINTENANCE	10,528	2.6	67,316	1.5
TRUCK EXPENSES	198	.1	2,960	.1
UTILITIES	9,596	2.4	110,041	2.4
FREIGHT IN PRICE EXPENSES	5,304	1.3	68,402	1.5
TOTAL FACTORY OVERHEAD	64,631	15.9	684,049	14.7
TOTAL MANUFACTURING COST	344,069	84.6	4,050,352	87.1
PRODUCTION	406,536	100.0	4,651,591	100.0
GROSS MARGIN	62,467	15.4	601,238	12.9

ANGOLA

Highland Computer Forms, Inc.

PERIOD 124/12

ENDING 124/12/31 PAGE 1

	CURRENT PERIOD		YEAR TO DATE	
COST OF GOODS				
MANUFACTURED				
DIRECT MATERIALS				
PAPER	134,889	43.8	1,720,563	46.2
CARBON			1,299	
CARTONS	7,168	2.3	84,752	2.3
INK	773	.3	16,327	.4
MATERIALS + SUPPLIES	2,787	.9	63,320	1.7
LABEL MATERIAL	15,602	5.1	121,477	3.3
INTEGRATED MATERIAL				
PLATES + COMP CHARGES	1,425	.5	28,118	.8
TOTAL DIRECT MATERIALS	162,647	52.8	2,035,859	54.6
LABOR				
DIRECT LABOR WAGES	26,097	8.5	308,352	8.3
INDIRECT LABOR WAGES	26,435	8.6	319,924	8.6
SUPERVISOR'S SALARIES				
TOTAL LABOR	52,533	17.1	628,276	16.9
FACTORY OVERHEAD				
DEPRECIATION EQUIPMENT	5,637	1.8	66,612	1.8
DEPRECIATION TRUCKS				
CARETAKING-PRODUCTION	97		7,094	.2
EQUIPMENT LEASING				
INSURANCE - PROD HEALTH	11,427	3.7	108,822	2.9
TAXES - PROD PAYROLL	366	.1	75,473	2.0
401K MATCH - PROD	1,384	.5	17,059	.5
INSURANCE - GENERAL	5,304	1.7	22,566	.6
TAXES - GENERAL	2,649	.9	26,924	.7
TRAINING & EDUCATION				
RENT	8,000	2.6	96,000	2.6
REPAIRS + MAINTENANCE	1,647	.5	48,303	1.3
TRUCK EXPENSES				
UTILITIES	8,787	2.9	104,195	2.8
FREIGHT IN PRICE EXPENSES	268	.1	14,995	.4
TOTAL FACTORY OVERHEAD	45,570	14.8	588,048	15.8
TOTAL MANUFACTURING COST	260,750	84.7	3,252,184	87.3
PRODUCTION	307,897	100.0	3,727,513	100.0
GROSS MARGIN	47,146	15.3	475,329	12.8

	CURRENT PERIOD		YEAR TO DATE	
COST OF GOODS				
MANUFACTURED				
DIRECT MATERIALS				
PAPER			382-	.1
CARBON				
CARTONS				
INK			1,873	.4
MATERIALS + SUPPLIES	300	.8	4,832	.9
LABEL MATERIAL				
INTEGRATED MATERIAL				
PLATES + COMP CHARGES				
TOTAL DIRECT MATERIALS	300	.8	6,323	1.2
LABOR				
DIRECT LABOR WAGES	9,849	26.6	139,496	25.9
INDIRECT LABOR WAGES	7,425	20.1	82,781	15.4
SUPERVISOR'S SALARIES	5,990-	16.2	32,017-	6.0
TOTAL LABOR	11,283	30.5	190,261	35.4
FACTORY OVERHEAD				
DEPRECIATION EQUIPMENT	362	1.0	3,757	.7
DEPRECIATION TRUCKS				
CARETAKING-PRODUCTION	304	.8	3,472	.7
EQUIPMENT LEASING				
INSURANCE - PROD HEALTH	6,403	17.3	63,575	11.8
TAXES - PROD PAYROLL	1,866	5.0	23,956	4.5
401K MATCH - PROD	959	2.6	11,410	2.1
INSURANCE - GENERAL	1,022	2.8	3,167	.6
TAXES - GENERAL	670	1.8	6,807	1.3
TRAINING & EDUCATION				
RENT	2,500	6.8	30,000	5.6
REPAIRS + MAINTENANCE	144	.4	22,352	4.2
TRUCK EXPENSES				
UTILITIES	1,730	4.7	24,643	4.6
FREIGHT IN PRICE EXPENSES				
TOTAL FACTORY OVERHEAD	15,963	43.2	193,142	35.9
TOTAL MANUFACTURING COST	27,547	74.5	389,727	72.5
PRODUCTION	36,997	100.0	537,739	100.0
GROSS MARGIN	9,449	25.5	148,011	27.5

	PAPER USAGE									
	2024 POUNDS	2024 CARBONLESS	2024 BOND	2024 TONS	2023 POUNDS	2022 POUNDS	2021 POUNDS	2020 POUNDS	2019 POUNDS	2018 POUNDS
COMPANY TOTALS										
JAN	475,334	63,361	411,973	238	541,642	752,147	478,826	880,989	1,016,330	1,125,503
FEB	403,569	64,983	338,586	202	522,446	640,409	489,239	574,388	706,461	1,026,591
MARCH	425,537	75,199	350,338	213	650,706	680,048	640,227	772,666	690,808	1,109,521
APRIL	358,225	67,855	290,370	179	454,895	611,735	598,654	562,755	792,659	884,871
MAY	320,729	81,418	239,311	160	515,217	680,720	530,940	448,711	681,807	998,060
JUNE	383,810	57,023	326,787	192	567,599	700,969	614,214	416,436	793,730	758,457
JULY	380,238	62,120	318,118	190	494,824	625,997	677,060	513,082	811,902	971,393
AUG	422,558	114,430	308,128	211	581,337	603,322	513,167	640,790	862,655	1,213,632
SEPT	346,150	89,392	256,758	173	371,797	539,601	514,258	599,988	708,799	849,146
OCT	442,843	115,072	327,771	221	547,003	511,936	708,710	526,873	869,870	944,106
NOV	362,223	52,365	309,858	181	516,155	567,220	606,137	456,190	724,762	801,199
DEC	381,130	99,482	281,648	191	371,797	638,278	635,259	728,141	655,052	925,010
TOTAL YEAR TO DATE	4,702,346	942,700	3,759,646	2,351	6,135,418	7,552,382	7,006,691	7,121,009	9,314,835	11,607,489
HILLSBORO										
JAN	203,245	46,831	156,414	102	285,346	421,247	257,544	491,109	441,638	425,125
FEB	205,147	48,647	156,500	103	277,133	359,054	212,354	313,554	286,402	379,882
MARCH	188,588	40,769	147,819	94	312,593	350,686	357,215	414,291	370,192	424,426
APRIL	202,877	50,087	152,790	101	267,057	369,149	321,728	344,465	385,449	365,770
MAY	165,514	53,860	111,654	83	231,008	344,588	284,835	236,774	352,868	443,750
JUNE	247,549	28,294	219,255	124	306,063	395,166	354,258	225,523	404,826	332,433
JULY	174,754	44,784	129,970	87	237,419	294,274	353,511	232,849	407,754	410,900
AUG	238,993	78,927	160,066	119	332,930	385,703	351,618	300,411	465,296	493,434
SEPT	161,798	42,652	119,146	81	221,865	250,710	367,933	346,713	390,823	442,108
OCT	274,001	75,877	198,124	137	335,523	267,722	416,685	336,114	517,863	409,311
NOV	206,913	37,222	169,691	103	306,593	327,288	359,122	222,522	396,637	418,348
DEC	210,696	73,432	137,264	105	200,003	371,299	330,426	411,267	356,018	398,167
TOTAL YEAR TO DATE	2,480,075	621,382	1,858,693	1,240	3,313,533	4,136,886	3,967,229	3,875,592	4,775,766	4,943,654
ANGOLA										
JAN	272,089	16,530	255,559	136	256,296	330,900	221,282	389,880	331,358	479,019
FEB	198,422	16,336	182,086	99	245,313	281,355	276,885	260,834	372,870	346,989
MARCH	236,949	34,430	202,519	118	338,113	329,362	283,012	358,375	320,616	309,325
APRIL	155,348	17,768	137,580	78	187,838	242,586	276,926	218,290	407,210	326,334
MAY	155,215	27,558	127,657	78	284,209	336,132	246,105	211,937	328,939	249,132
JUNE	136,261	28,729	107,532	68	261,536	305,803	259,956	190,913	388,904	230,292
JULY	205,484	17,336	188,148	103	257,405	331,723	323,549	280,233	404,148	274,118
AUG	183,565	35,503	148,062	92	248,407	217,619	161,549	340,379	397,359	488,758
SEPT	184,352	46,740	137,612	92	149,932	288,891	146,325	253,275	317,976	244,402
OCT	168,842	39,195	129,647	84	211,480	244,214	292,025	190,759	352,007	287,432
NOV	155,310	15,143	140,167	78	209,562	239,932	247,015	233,668	328,125	242,347
DEC	170,434	26,050	144,384	85	171,794	266,979	304,833	316,874	299,034	275,722
TOTAL YEAR TO DATE	2,222,271	321,318	1,900,953	1,111	2,821,885	3,415,496	3,039,462	3,245,417	4,248,546	3,753,870
IOWA										
JAN									243,334	221,359
FEB									47,189	299,720
MARCH										375,770
APRIL										192,767
MAY										305,178
JUNE										195,732
JULY										286,375
AUG										231,440
SEPT										162,636
OCT										247,363
NOV										140,504
DEC										251,121
TOTAL YEAR TO DATE									290,523	2,909,965

INFORMATION IS FROM THE MONTH END RAW MATERIALS USAGE REPORT
REPORT OPTION 5 (INVENTORY REPORTS) AND OPTION 9 (RAW MATERIALS USAGE)

THIS REPORT IS WORK ORDER BASED AND WOULD NOT REFLECT ANY SPECIAL PAPER
THAT IS NOT ENTERED INTO THE AS/400.

RATIO ANALYSIS
YTD
DECEMBER 31, 2024

QUICK RATIO		RATIO
CASH & TRADE RECEIVABLES	1,187,772	1.53
CURRENT LIABILITIES	775,831	
CURRENT RATIO		
CURRENT ASSETS	2,223,461	2.87
CURRENT LIABILITIES	775,831	
INVENTORY TURNOVER		
COST OF SALES	7,985,651	7.82
ENDING INVENTORY	1,021,534	
AVERAGE DAYS TO SELL		
AVERAGE INVENTORY x 366	1,036,480	47.50
COST OF SALES	7,985,651	
CURRENT LIABILITES TO EQUITY		
CURRENT LIABILITES	775,831	0.28
NET WORTH	2,756,175	
LONG TERM DEBT TO EQUITY		
LONG TERM DEBT	395,424	0.14
NET WORTH	2,756,175	
TOTAL LIABILITES TO EQUITY		
TOTAL LIABILITES	1,171,256	0.42
NET WORTH	2,756,175	
AVERAGE DAYS TO COLLECT		
AVERAGE TRADE RECEIVABLES X 335	713,286	28.98
NET SALES	9,008,623	
RECEIVABLES TURNOVER		
NET SALES	9,008,623	12.63
AVERAGE AR BALANCE	713,286	